year, sometimes from week to week, as well as from commodity to commodity; understanding the different price idiosyncrasies of different commodities; adjusting for all unknown variables; and finally, having the courage to apply your conclusions to the market.

Futures trading is one of the few areas where luck is of minimal importance.

It is this last requirement—the courage to apply your conclusions to the market—that proves to be the Waterloo for most futures traders. It is the point where your personality meets its most formidable challenge and you learn the type of trader you really are. Indeed, a trader's psychological makeup is the most critical component in his success in futures trading.

While special education and professional training will help, they are not mandatory. Tips or inside information are of small consequence. What is necessary is an orderly thought process, a businesslike approach, a well-balanced personality, a willingness to study the significant factors, and a working knowledge of the past history. And, of course, patience. The trader needs patience to learn from trading experiences, patience to learn from past mistakes, and patience for confidence and trading ability to grow. These are not simple requisites, and yet they are not impossible or so complicated as to warrant the taboos or prohibitions that so many have placed on this challenging field.

The rules of odds or probabilities—the normal tools of a good gambler—are not required for futures trading and can be a distinct disadvantage. Successful professional futures traders, as a rule, are not gamblers in the classic sense; most of the time, when gamblers try their skill at futures, they lose. The reasons for this are quite simple. Futures prices are dictated by the laws of economics, whereas successful gambling